

India: Both inflation and the trade deficit surprised higher in June

For FY27, we forecast inflation at 4.6%, the CAD at 1.2% of GDP and an extended RBI hold.

- CPI inflation rose to an 18-month high of 4.4% y-o-y in June from 3.9% in May, driven by a hike in retail petrol/diesel prices, higher food inflation and a slow, selective pass-through of higher input costs to some core sub-categories. Despite this, core inflation remained flat at 3.9% y-o-y in June, and super core inflation (core ex-gold/silver/platinum) only inched up to 2.5% from 2.3% in May.
- By our estimates, July inflation is tracking lower at ~4.0% y-o-y (June: 4.4%). We recently reduced our FY27 inflation forecast to 4.6% from 5.0%, below the RBI's forecast of 5.1%. With continued uncertainty in the Middle East and subdued underlying inflation, the bar to MPC rate hikes remains high, in our view.
- Merchandise trade deficit data surprised higher, rising to USD30.4bn in June from USD28.2bn in May. Import growth rose to 31.0% y-o-y (from 11.2% in May), driven by elevated oil imports and robust core import growth, reflecting strong domestic demand and higher global prices. Export growth eased to a still-resilient 15.5% y-o-y in June, with broad-based performance across most sectors.
- We see the BoP swinging to a surplus of over USD40bn in FY27, up from our previous estimate of a deficit of ~USD70bn, owing to a panoply of external sector measures to attract capital inflows and a lower current account deficit forecast, which we recently lowered by 0.7pp to 1.2% of GDP to reflect lower crude oil prices, gold/silver import curbs, strong remittances and resilient exports.

Food-and fuel-driven inflation

Fuel powered rise

CPI inflation rose to a higher-than-expected 4.4% y-o-y (Consensus and Nomura: 4.2%) in June from 3.9% in May (Figure 1). As **petrol and diesel prices were hiked** in mid-May (~5% weighting cumulatively), the hike was only partially captured in the May reading, with the remaining 4.3-4.9% m-o-m (nsa) increase reflected in the June data. There was also a sharp pick-up in LPG cylinder and piped natural gas prices (2.3% m-o-m).

... alongside higher food inflation

Outside the fuel basket, food & beverages inflation rose to 5.1% y-o-y from 4.5% in May, led primarily by a surge in vegetable prices (7.4% m-o-m) along with steep increases in the prices of eggs (3.7%), spices (2.2%), meat, fish and milk (~1.1%), oils & fats (0.8%) and to a lesser extent cereals and sugar (~0.5%). Prices were softer for pulses and fruits (~0.3-0.4%) and beverages (0.2%).

Vegetable prices typically spike during monsoon months, so the increase is consistent with seasonal trends (Figure 2), although it is higher than our estimate based on high-frequency data. Higher oils & fats inflation probably captures elevated global prices, given India's dependence on imports. Expensive animal feed, particularly soybeans, may be contributing to higher prices of animal protein items. The pick-up in diesel and fertiliser costs may also be adding to food inflationary pressures. That said, adequate buffer stocks of cereals and pulses and deft supply-side management by the government are likely keeping price momentum in check, even as monsoons and sowing disappoint.

Core inflation withstands pressures

Core inflation (CPI ex-food & beverage, electricity, gas & other fuels, petrol, diesel and lubricants) remained flat at 3.9% y-o-y in June, a notch above our estimate of 3.8%. We estimate super core inflation (core ex-silver and gold/diamond/platinum) rose to a still-benign 2.5% in June from 2.3% in May, pointing to a continued outsized contribution from

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gold and silver inflation on an annual basis.

That said, there have been episodes of price increases within core sub-categories in reaction to the higher input costs triggered by the Iran war. Restaurant & accommodation services continued to lead the pack, registering yet another month of steep price increases (1.4% m-o-m, nsa; Figure 3). Within the transportation basket, higher fuel prices most likely led to an upward revision in fares for road transport, even as air fares – which rose sharply in May – eased in June. We have also observed some persistent price pressures building within clothing & footwear and household sub-categories, but overall inflation remains capped.

Inflation momentum across categories like health, housing (ex-fuels), recreation and intoxicants remained subdued. There was a spike in education services (1.3% m-o-m), but we observed a similar increase in June-July last year, which suggests these are likely seasonal pressures linked to annual fee revisions.

The trade deficit remained elevated

The merchandise trade deficit surprised higher at USD30.4bn in June (Consensus: USD26.5bn; Nomura: USD27.4bn; May: USD28.2bn), driven by higher import growth, even as export growth remained stable (Figure 4). On the services side, the trade surplus was softer at USD15.1bn in June, down from USD15.7bn in May and lower than the ~USD19bn average over the first five months of 2026. This was driven by tepid services export growth (~3%) amid stronger import growth (12.7%).

Goods import dynamics

Import growth rose to 31% y-o-y in June from 11.2% in May, a shade above our expectations (Nomura: 26.2%), partly buoyed by a favourable base. Oil imports were unsurprisingly elevated at 40% y-o-y in June, due to the lagged impact of higher prices and a weak base. We estimate gems & jewellery imports contracted by ~8%, possibly reacting to the government's *customs duty hikes* and restrictions on gold/silver imports. Core imports (non-oil/gems & jewellery) grew by a solid 31.4% in June following a 11.2% increase in May, reflecting a mix of strong domestic demand and higher global prices. There was broad-based pick-up across key segments with categories like fertilisers, electronic goods, pulses and cotton registering particularly strong growth (Figure 5).

Goods export dynamics

Exports rose by 15.5% y-o-y in June after gaining 18% in May, below our expectations (Nomura: 26.4%). Oil exports remained weak at 8.9%, down from 55.1% in May, which could be due to a mix of windfall taxes imposed on petroleum product exports and maintenance works at the Reliance Industries Jamnagar refinery, which is a major fuel exporter^[1]. Core export (non-oil/gems & jewellery) growth remained robust at 15.3%, with broad-based performances across most sectors (Figure 6).

Nomura's view: Lower inflation, lower CAD, RBI on hold

Our assessment of the June reading

The June inflation data predictably reflected increases in petrol and diesel retail prices and higher food inflation. There were some pockets of price increases within the core basket, but underlying momentum remains anchored. This suggests weaker consumer demand, as corporate margins are likely under pressure.

Downside versus upside risks

Crude oil prices fell sharply during the temporary cessation of hostilities between the US and Iran. Although retail fuel price hikes are unlikely to be reversed in the near future, lower industrial energy costs and the reversal of energy curbs on the commercial sector will likely ease margin pressures on firms. While some core sub-categories may continue to reflect a lagged impact of higher input costs in coming months, we do not expect these pressures to persist. That said, the resumption of US-Iran hostilities, accompanied by rising crude oil prices and Strait of Hormuz disruptions, is an upside risk.

Monsoons remain deficient, tracking 19% below normal as of mid-July. July is the key month for Kharif (summer crop) sowing, which has disappointed so far, but is incrementally improving (-16% y-o-y as of 10 July, up from around -23% as of end-June). Also, as we recently discussed, the relationship between monsoons and food inflation has historically been patchy (see *India: El Niño may not scorch the economy*, 19 May 2026). Vegetable price volatility in the monsoon months is also a key uncertainty. Lower-than-usual price spikes – as we suspect could be the case in July – could drag headline inflation.

Inflation forecasts

Based on the daily data available so far in the month, we estimate inflation is tracking at ~4.0% y-o-y in July, down from 4.4% in June. We recently reduced our FY27 CPI inflation forecast to 4.6% from 5.0%, below the RBI's forecast of 5.1%. We see inflation crossing ~5.0% by Q3 FY27 (October-December), buoyed by an exceptionally low base.

A balance of payments surplus is likely

We recently reduced our FY27 current account deficit forecast to 1.2% of GDP from 1.9%, primarily to reflect lower crude oil prices, continued restrictions on gold/silver imports, strong remittances, a relative resilience to US trade tensions and the absence of extraordinarily high US tariffs.

On the capital account side, policymakers have rolled out a bazooka of measures to attract foreign inflows, including FCNR(B) deposit incentives, concessional External Commercial Borrowing (ECB) swaps and tax relief for FPIs investing in government securities (see *India: Policy bazooka for managing currency prudently leaves out policy rate*, 5 June 2026). FCNR(B) flows in the first month seem encouraging (see *India: FCNR(B) inflows are off to a healthy start*, 3 July 2026), even as market confidence around the extent of inflows has reduced of late. In our baseline view, the scheme leads to inflows of around USD55bn in FY27. Along with other measures, we see the balance of payments swinging from a large deficit to a surplus of over USD40bn, up from our previous forecast for a deficit of ~USD70bn (see *India: BoP swings – from deficit to surplus*, 19 June 2026).

The RBI is likely on extended hold

With inflation tracking below the RBI's FY27 forecast of 5.1% and continued uncertainty in the Middle East, we believe MPC members are likely to utilise the buffer offered by subdued underlying inflation to keep their focus trained on minimizing the damage to growth. The panoply of external sector measures to attract capital inflows suggests little appetite for the RBI to dilute its inflation targeting mandate by mounting an interest rate defence of the currency. We maintain our view that the RBI will be on an extended policy hold through the year.

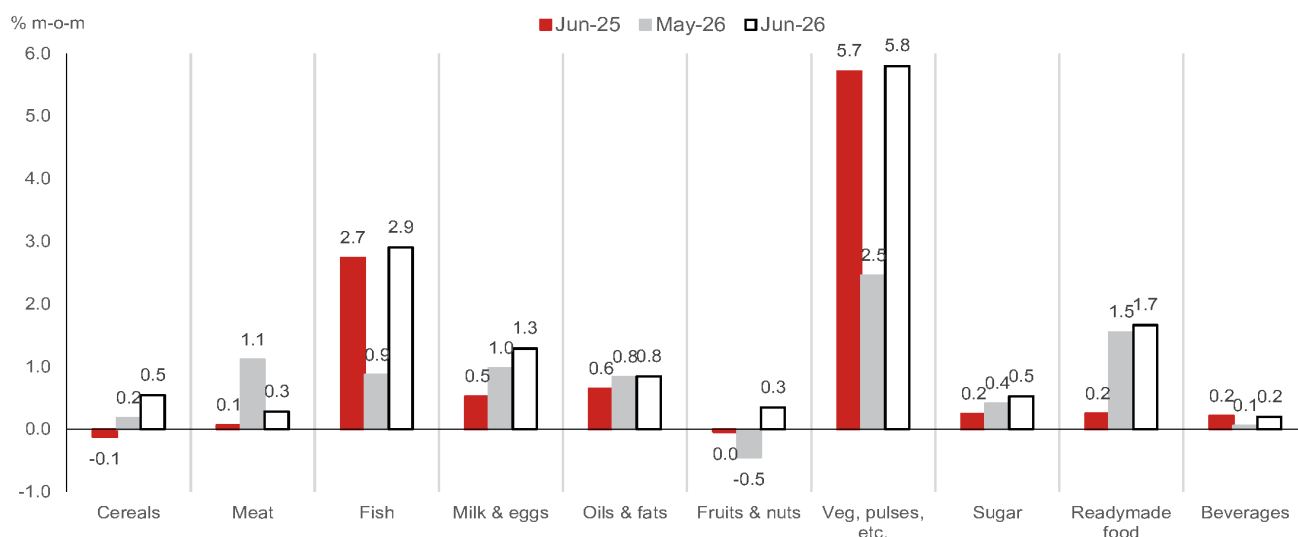
Fig. 1: CPI inflation at a glance

% y-o-y	Weight (%)	Apr-26	May-26	Jun-26
CPI	100.0	3.5	3.9	4.4
Food & Beverages	36.8	4.0	4.5	5.1
Paan, Tobacco & Intoxicants	3.0	4.8	4.8	4.8
Clothing & Footwear	6.4	2.8	3.0	3.2
Housing, Electricity, etc	17.7	1.7	1.7	2.0
Furnishings, etc	4.5	1.6	1.9	2.2
Health	6.1	1.6	1.5	1.4
Transport	8.8	0.0	1.8	4.3
Information & Communication	3.6	0.5	0.3	0.4
Recreation, Sport & Culture	1.5	2.1	2.0	1.7
Education Services	3.3	3.1	3.0	3.3
Restaurants & Accommodation	3.3	4.2	5.7	6.9
Personal Care, etc	5.0	17.7	18.5	16.7
Core inflation (ex-F&B, fuel & light, petrol, diesel & lubricants)	53.0	3.7	3.9	3.9
Super core inflation (Core ex-gems & jewellery)	51.9	2.2	2.3	2.5

Source: CEIC and Nomura Global Economics

Fig. 2: Food & beverages sub-categories

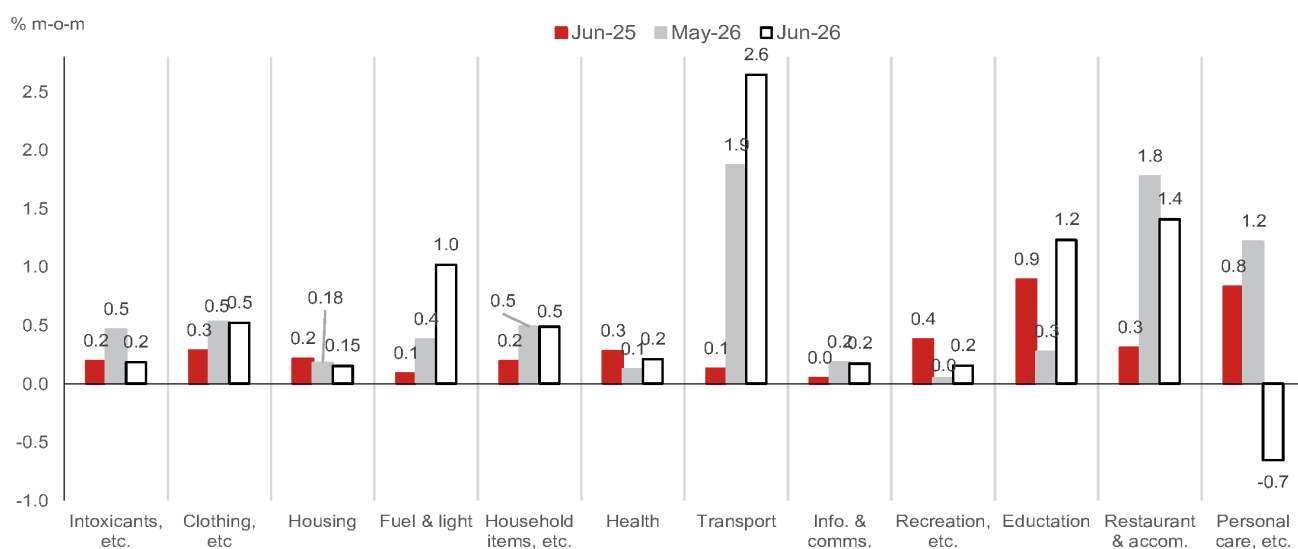
Inflation (% m-o-m)



Source: CEIC and Nomura Global Economics

Fig. 3: Non-food sub-categories

Inflation (% m-o-m)

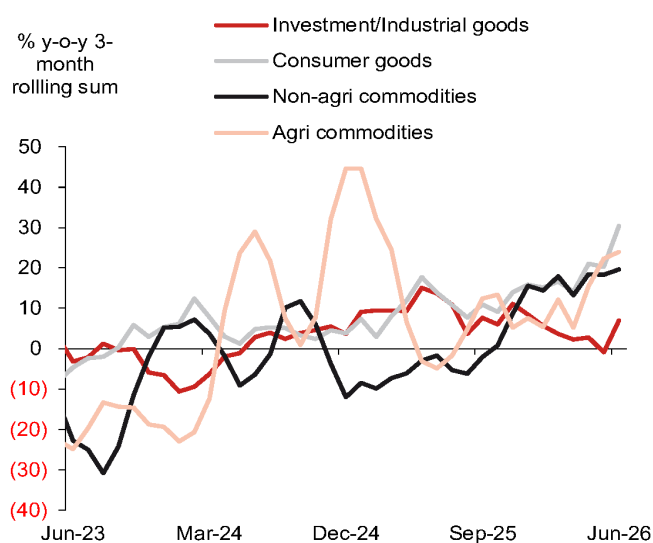


Source: CEIC and Nomura Global Economics

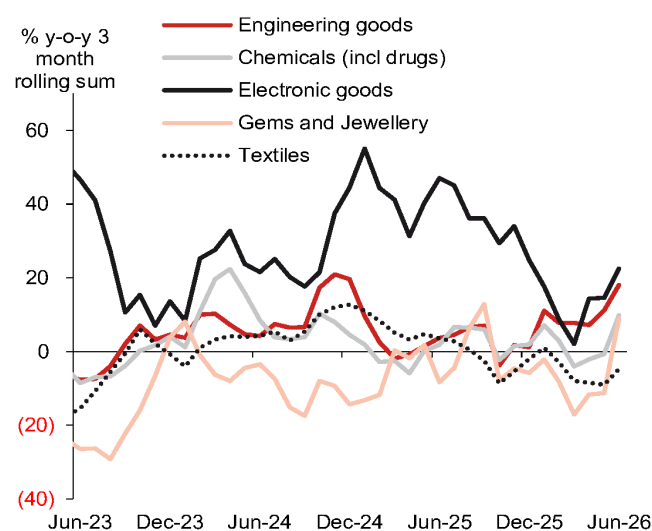
Fig. 4: Trade at a glance

% y-o-y	Feb-26	Mar-26	Apr-26	May-26	Jun-26
Exports	-0.8	-7.4	14.2	18.0	15.5
Oil	-40.2	5.9	36.8	55.1	8.9
Non-oil/gems & jewellery	6.6	-7.5	10.4	12.3	15.3
Imports	24.1	-6.5	10.0	20.6	31.0
Oil	9.0	-35.9	-10.1	53.8	40.0
Gems & jewellery	157.3	-17.9	51.1	-0.6	-7.9
Non-oil/gems & jewellery	14.0	10.2	15.4	11.2	31.4
Trade balance (USD bn)	-27.1	-20.7	-28.2	-28.2	-30.4
Sequential momentum (% m-o-m, seasonally adjusted)					
Exports	-0.6	-7.2	21.0	3.3	-2.2
Oil	-29.9	49.5	34.5	20.6	-33.3
Non-oil/gems & jewellery	0.6	-14.1	20.7	3.3	1.3
Imports	-6.8	-13.9	31.3	-5.4	5.4
Oil	-3.4	-23.2	68.6	13.4	-1.4
Non-oil/gems & jewellery	-1.0	-0.9	9.8	-3.7	8.6
Trade balance (sa, USD bn)	-30.5	-23.8	-34.8	-29.3	-34.2

Source: CEIC and Nomura Global Economics

Fig. 5: Core import growth by categories


Source: CEIC and Nomura Global Economics

Fig. 6: Core export growth by key categories


Source: CEIC and Nomura Global Economics

1. "India's fuel exports fall to lowest since 2022 amid refinery maintenance, domestic demand", *The Hindu*, 3 June 2026.

Appendix A-1

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